NSE Press Briefing

January 30, 2019

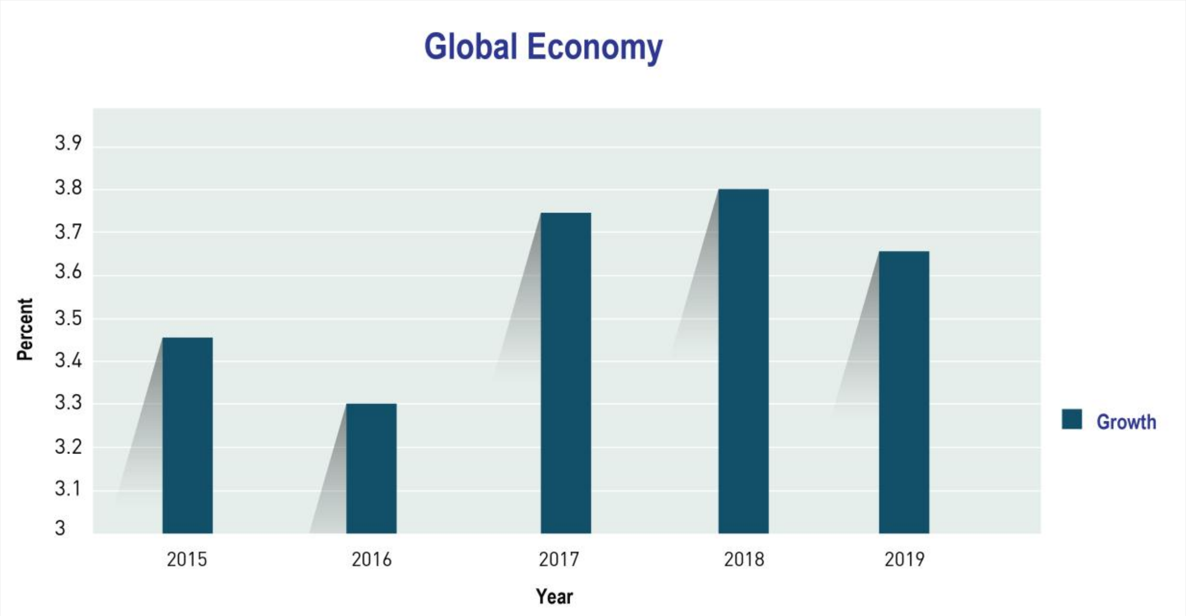
CONTENTS

Economic Overview

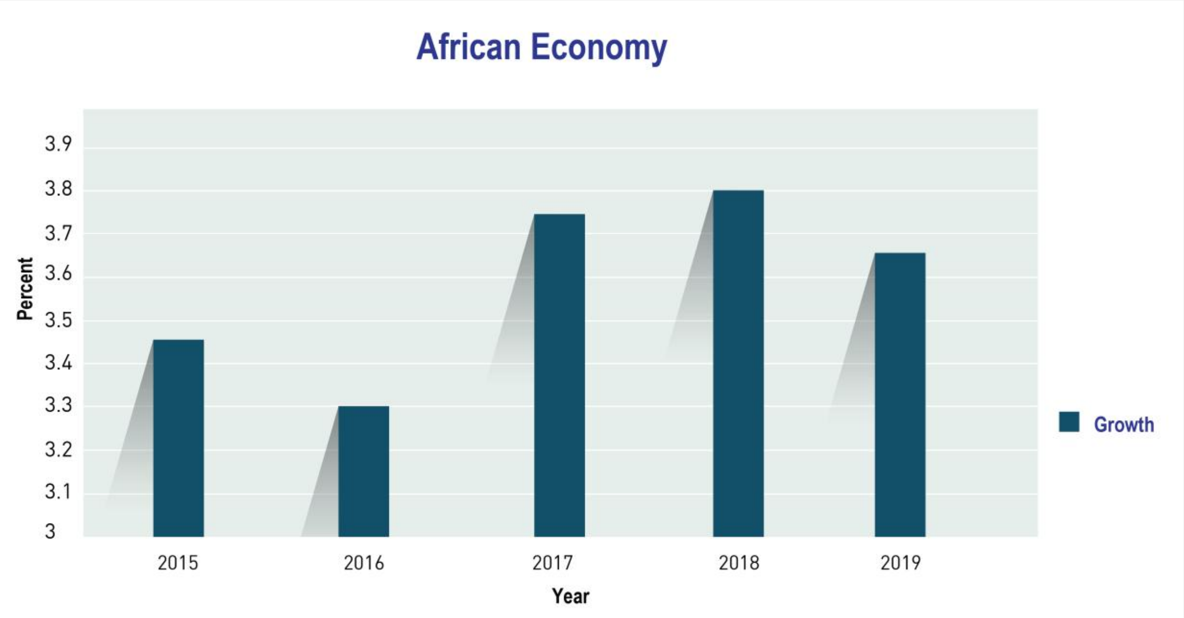
Global Economic Performance

- Global economic growth has been contributed by accelerated growth in the emerging markets and developing economies such as South Asia and Africa. However, advanced economies growth decelerated in the period.

- China's growth rate is forecasted to decline further from 3.8% in 2018 to 3.5% in 2019 by Goldman Sachs, as a result of slower credit growth and trade wars with U.S. Europe's growth rate also declined due to the on going Italy budget crisis and U.K's Brexit negotiations.



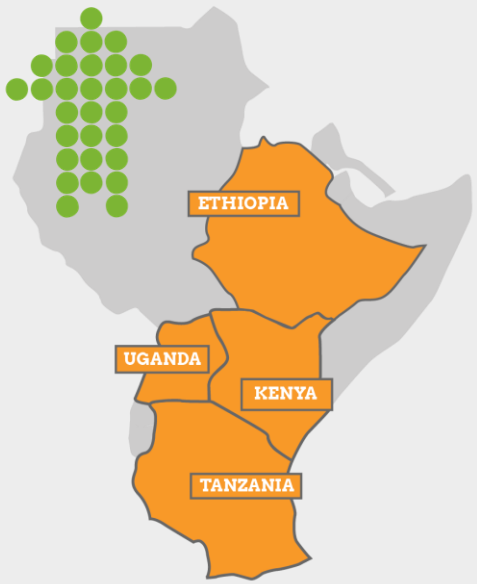
African Economic Performance



- Growth of Africa economy in 2018 has been strengthened by a relatively more supportive external environment, stronger global growth, high commodity prices and improved capital market access.

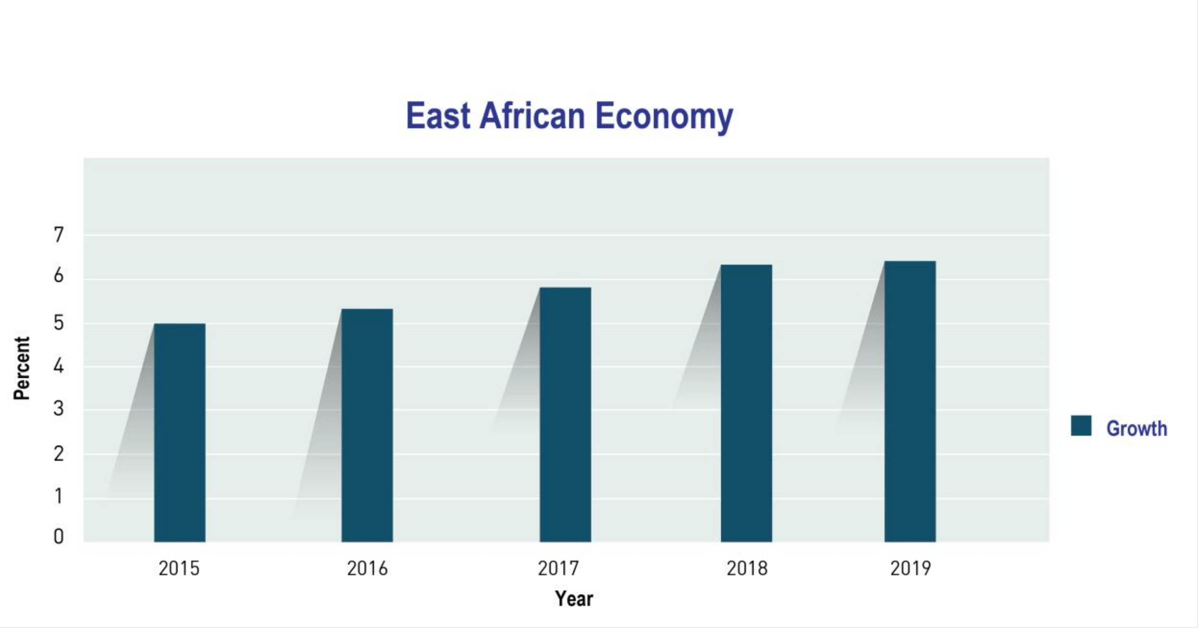
- The 2019 Africa Economic Outlook - Estimated 3.5% growth in 2018, forecasted 4% 2019. A factors to keep in mind however is the political uncertainty in South Africa, Nigeria- both headed to elections, and the aftermath of DRC and Zimbabwe.

Economic Growth Rate for East Africa



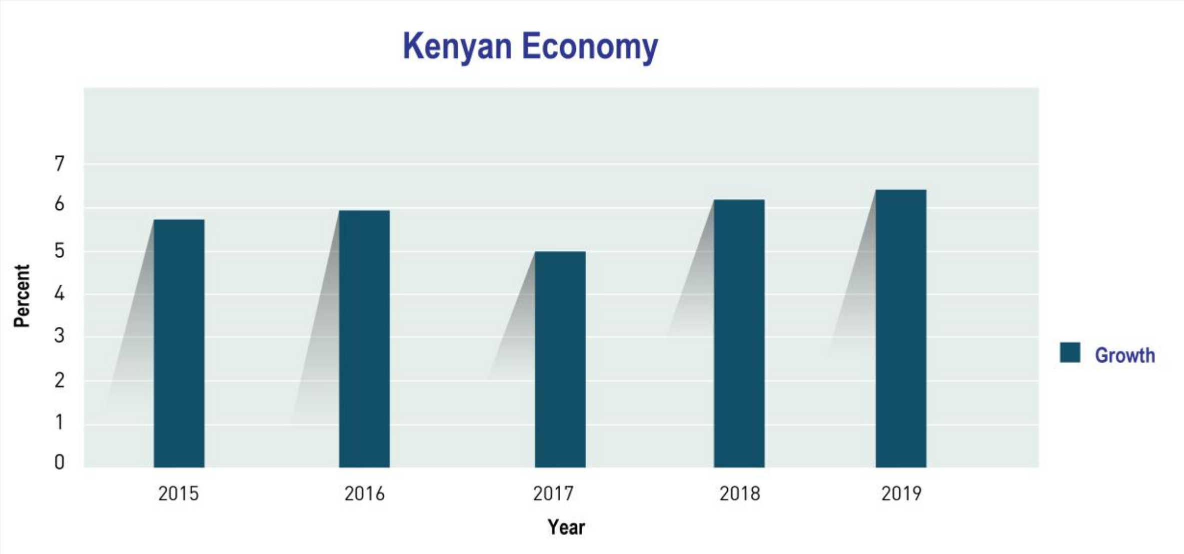
- The growth in H1 2018 was 6% while the projected growth in FY 2018 is approximated to average 6.1%. This is an improvement in comparison to 4.9% recorded in 2017.

- This positive outlook is due to the region's economic diversification and investment-driven growth. Ethiopia has the highest economic growth projection of 8%.



- The 2019 Africa Economic Outlook- Estimated 5.9% growth in 2019.

Economic Growth Rate for Kenya

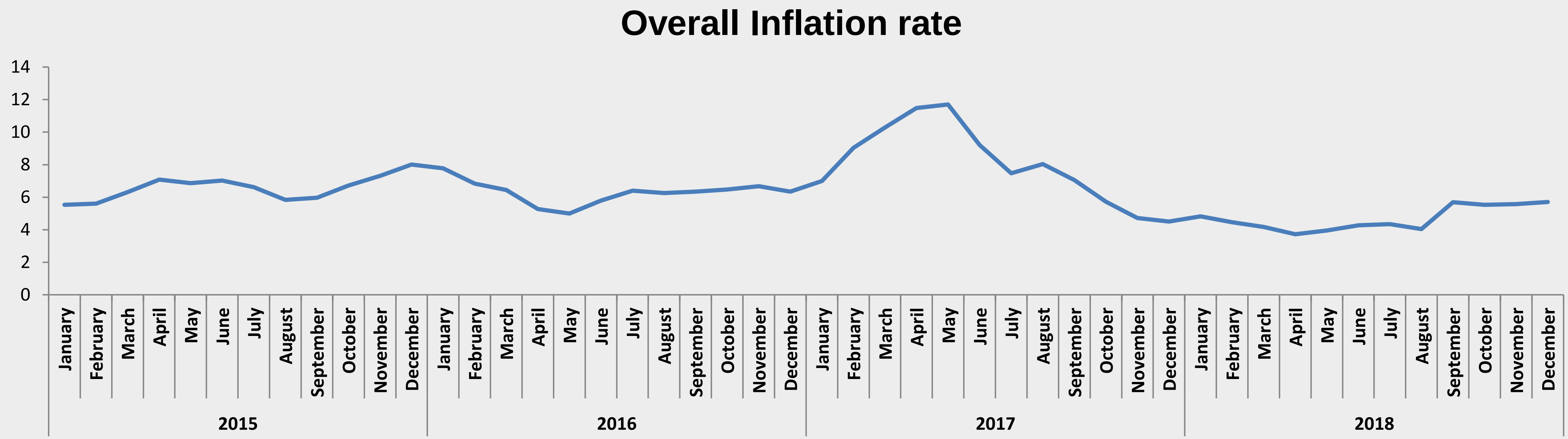


- Growth momentum will likely be sustained in 2019 as private consumption foreign direct investments and business confidence increases. However, the prevalence of the interest rate cap and tighter fiscal measures possess a challenge to sustained economic growth.

- *"Kenya has the potential to be one of Africa's success stories from its growing youthful population, a dynamic private sector, highly skilled workforce, improved infrastructure, a new constitution, and its pivotal role in East Africa and the wider African region."*

  \- World Bank Report

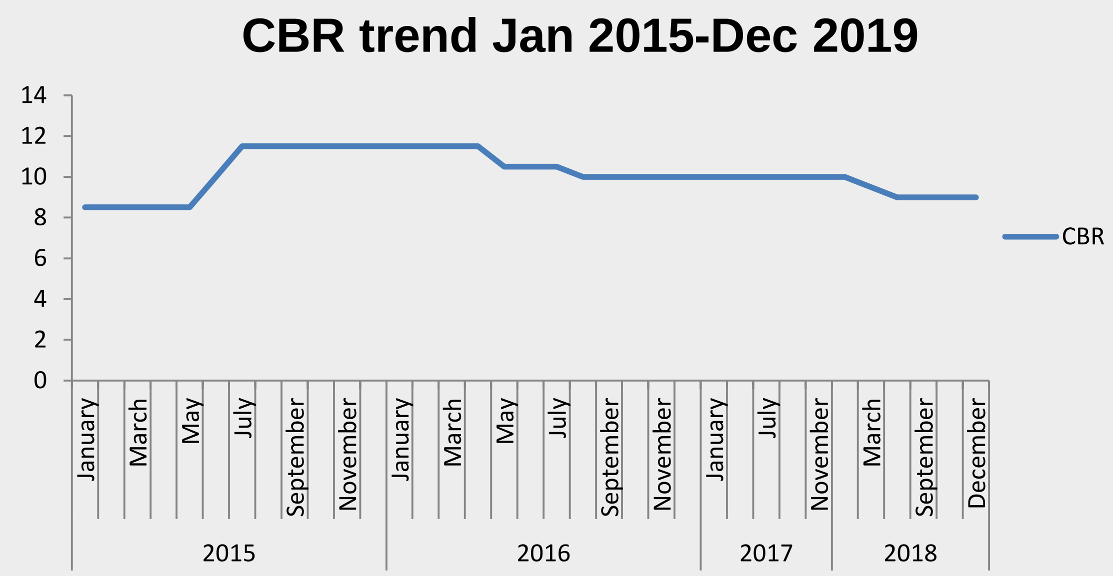
Economic Growth Rate – Overall Inflation Rate



Comments;

- Overall Inflation (fuel inclusive) was relatively stable in 2015 and 2016 but increased in 2017. Highest being 11.7% in May 2017 which was triggered by increased prices of basic food items such as sugar and maize.
- In the month of September to December 2018 the inflation experienced was approximately 5.62% which was 5.7% driven by introduction of VAT on fuel and rise in commodity prices.

Economic Growth Rate – CBR Trend & Performance of the Shilling against the Dollar



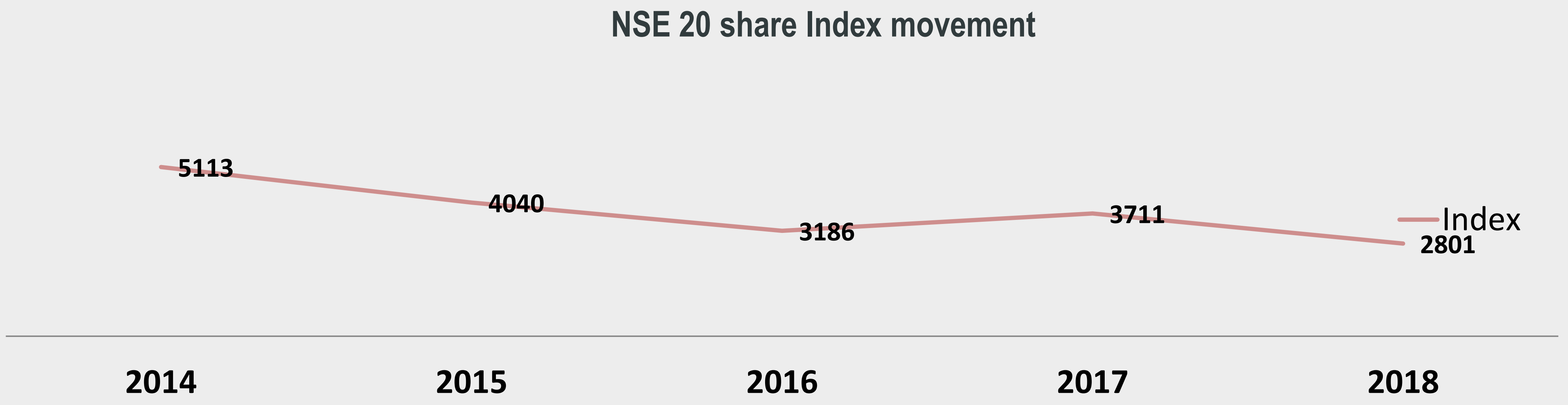
Comments:

- The Central Bank of Kenya has enforced tight monetary policies to stabilize the Kenya shilling against other currencies.
- The shilling has been stable in the recent years(2018-2019) compared to the period 2014-2016. CBK increased the CBR rate in 2015 to counter high inflation rate that was adversely affecting balance of payment and tourism.

The shilling might remain fairly stable due to:

- Increasing diaspora remittances.
- Treasury bonds and bills continue to be oversubscribed, indicating considerable amount of foreign inflow.
- Repayment of Eurobond will be countered by the proposed new Eurobond issuance.

Economic Growth Rate – CBR Trend & Performance of the Shilling against the Dollar



Comments

2014: Capital Gain Tax resulted in creation of more income inequality which affected investors decisions.

2015: Strong currency as depicted by high exchange rate versus US dollar and the Euro, though the index declined slightly.

2016: Brexit which reduced economic real per-capita income globally.

2017: Despite the political tensions around the general elections the market remained resilient driven by foreign inflows.

2018: Market declined as a result of fiscal policies around the proposed Robin Hood Tax impacted negatively on the appetite of both local and foreign. Other factors include US Market Bull run and the revived US economy causing foreigners to favour developed markets despite the political stability in the country following the handshake.

Market Performance

CAPITAL MARKETS

NSE outshines African peers despite bear run

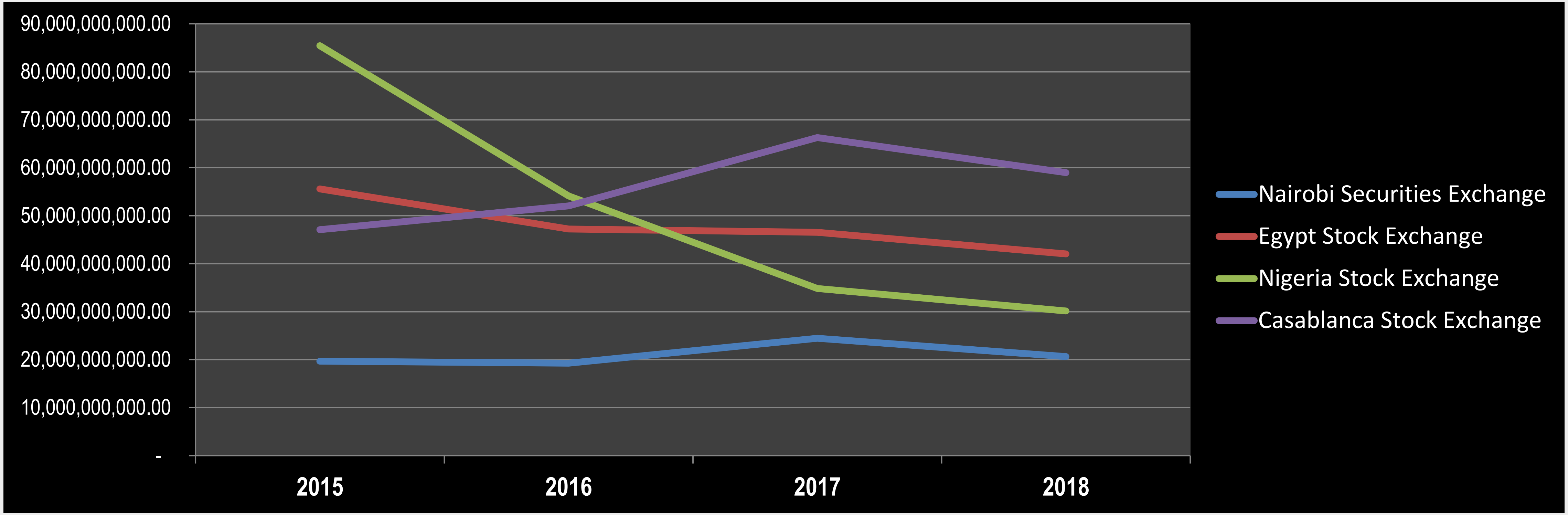
WEDNESDAY, JANUARY 9, 2019 20:03

An investor at the Nairobi Securities Exchange. FILE PHOTO | NMG

- The NSE last year outperformed most African markets in dollar returns despite the bear run, helped by the Kenya shilling's gain on the dollar versus the depreciation seen on most regional currencies.
- Market data compiled by African Alliance shows the NSE FTSE 15 Index — which tracks the bourse's 15 largest firms by market cap and is mainly used by foreign investors — had a dollarized return of -13.5 per cent last year.
- It outperformed the bourses of Nigeria (-20.6 per cent), Uganda (-17.2 per cent), Tanzania (-15.4 per cent) and Egypt (-14.2 per cent).

Source: Business Daily, January 10th , 2019.

Market Capitalization for top African Exchanges



- Market capitalization has been on a general declining trend across all exchanges since 2015. This could be attributed to the general unfavorable economic conditions. 2017, however, marked an increase in Market capitalization for Nairobi Securities Exchange and Casablanca Stock Exchange.

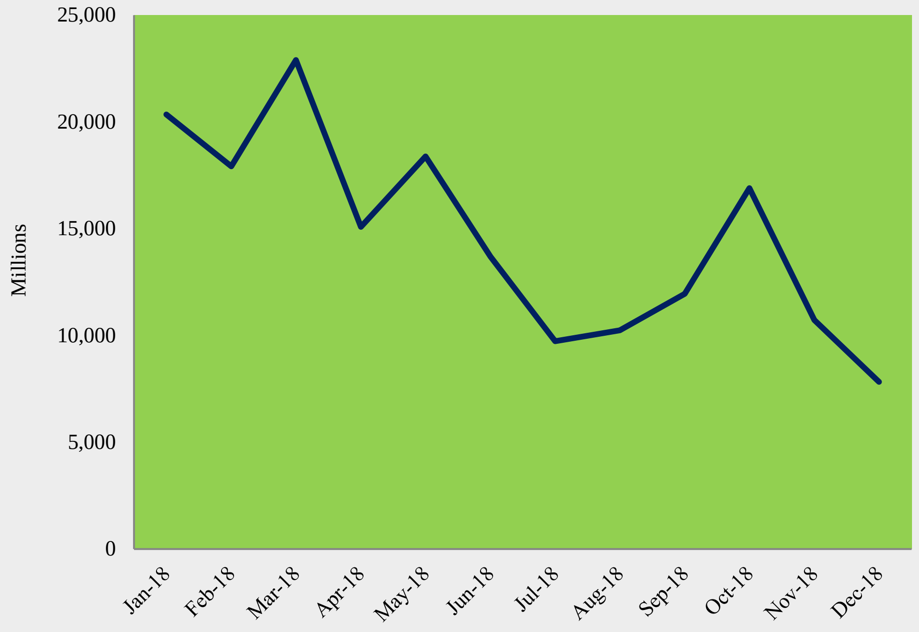
NSE Statistics 2018

Summary Statistics Q4 2018

	Oct 2018	Nov 2018	Dec 2018
NSE 20 Share Index	2,820	2,797	2,801
NSE All Share Index (NASI)	145.89	146.08	142
Market P/E Ratio	11.12	11.5	11.6
Market Capitalization (Kshs. Billions)	2, 132	2, 183	2, 102
No. of issued shares (Billions)	95	96	96
No. of issued traded (Millions)	843	407	320
No. of equity transactions	26, 295	22, 252	17, 640
Equity turnover (Kshs. Millions) -ET	16, 890	10, 713	7, 830
% foreign participation to et	75	77	77
Bond turnover (Kshs. Billions	53	42	22
Bond deals	817	987	422
Kshs/ US Dollar currency exchange	102	103	102
No. of trading days	22	22	18

NSE Statistics 2018 (contd.)

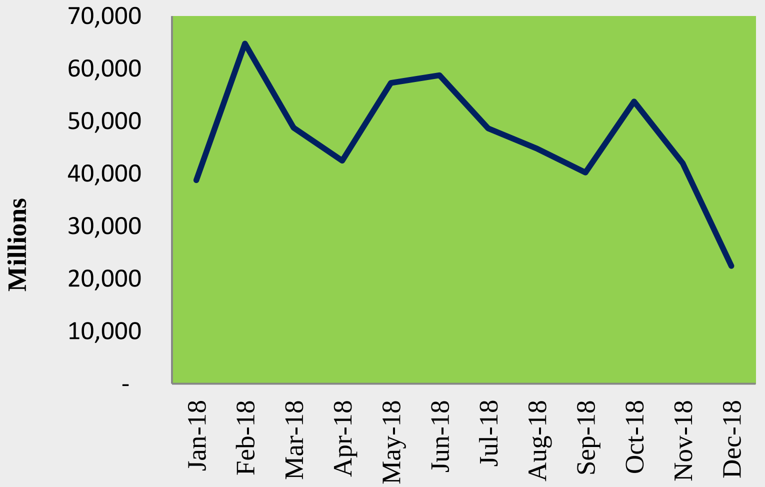
Equities Turnover 2018



- In December 2018, equity turnover fell by 27%.
- Bond turnover fell by 48%.
- Foreign participation fell by 4%.

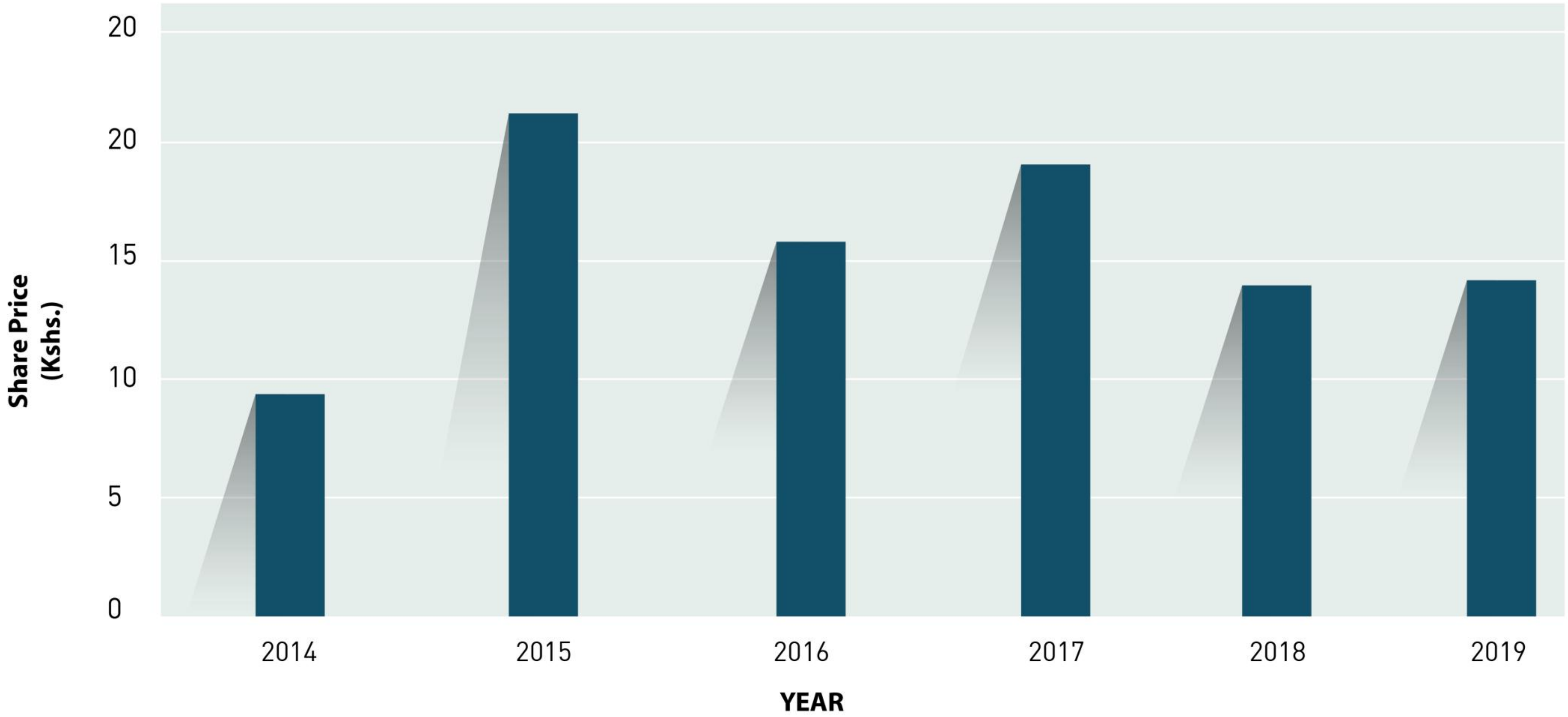
There was a decline in equity turnover as similarly observed the world over, with the U.S, Asia and European markets recording significant drops as high as last seen in 2008

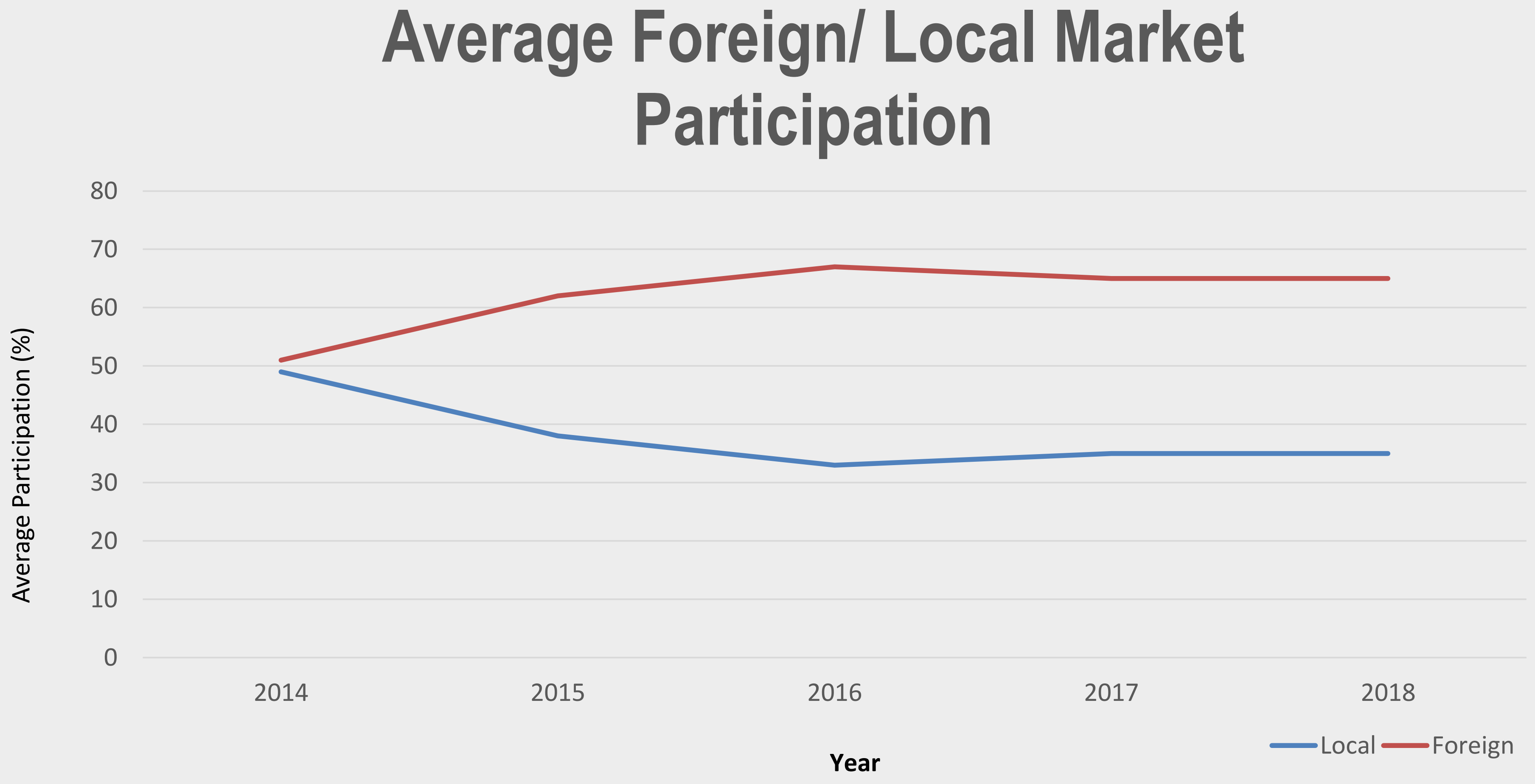
Bond Turnover 2018



There was a significant decline in bond turnover owing to the holiday season, where trading is normally low.

NSE's Share Price Movement




Average Foreign/ Local Market Participation
80
70
60
50
40
30
20
10
0
Average Participation (%)
2014
2015
2016
2017
2018
Year
Local
Foreign

2018 Highlights

Fixed Income Market in 2018

Bond

- 57 Government bonds
- 14 corporate bonds

USD 5,627,551,675

Green Bond

Green Bonds are regular bonds with one distinguishing feature: Proceeds are earmarked exclusively for projects with environmental benefits.

M-Akiba

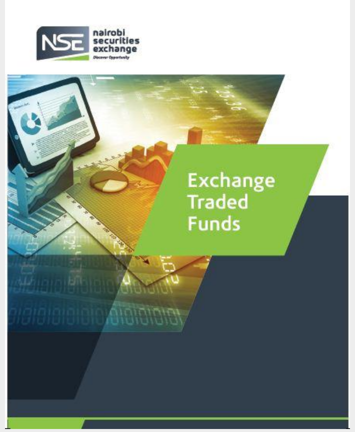
- First mobile traded Government retail bond in the world.
- 2 M-Akiba bonds
- USD 731,417
  M-Akiba Bond turnover

NSE Milestones

- 2004: The process of clearing and settlement of shares traded in Kenya's capital markets was automated.
- 2006: Trading Commenced on the Automated Trading System (ATS) sourced from Millennium Information Technologies (who provide the ATS for LSE)
- 2007: The Wide Area Network (WAN) was implemented, enabling trading participants to execute trades from their offices
- 2009: All equities and bonds became tradable via the ATS
- 2011: The Nairobi STOCK Exchange changed its name to Nairobi SECURITIES Exchange, reflecting its plans to offer a platform to trade all securities
- 2014: The NSE is formally declared a demutualized entity by the industry regulator, Capital Markets Authority
- 2014: The NSE self-lists
- 2014: Launch of GEMS
- 2015: Launch of the REIT market segment
- 2017: Listing of the New Gold ETF on the NSE
- 2018: NSE becomes a full member of the WFE
- 2018: The launch of the derivatives pilot phase with live cash

Growth of NSE Products and Services

The NSE is continuously working with key market stakeholders to grow the existing products. The NSE Real Estate Investments Trusts (REITs) market can play a crucial role to the achievement of the government's pillar of providing affordable housing in the country. Following the successful REITS conference we held in 2018, we believe we shall see some listings in 2019.



Derivatives at the NSE - NEXT

NEXT is the NSE Derivatives Market that facilitates the trading of futures contracts in the Kenyan market.

The NSE received approval to undertake a Pilot Phase Test for the Derivatives Market from the Capital Markets Authority. The Pilot Phase Test is aimed at testing the functionality and process of end to end transactions in a live environment.

NEXT was established as a result of:

- Increased integration of the Kenyan financial markets with international markets.
- Increased volatility in asset prices in local and international financial markets.
- The need for more sophisticated risk management tools and strategies.
- The need to broaden and deepen Kenyan financial markets.

Ibuka Program

This program aims to support the growth and developmental goals of companies of ***all*** sizes through a three stage program which enables them to be investor ready and subsequently capital raise

Incubator

Companies shall benefit from Visibility and one-stop shop capital markets access consultancy services which includes preparation or restructuring scope of work for separate business functions.

Accelerator

Incubants shall benefit from capital delivery advisory services which include transaction scope of work with specialized documentation such capital raising options report, equity valuation report, offer pricing report amongst others.

Share Trading Platform

Members can raise capital through trading their shares over a share trading platform, listing on the exchange or explore any other capital raising option.

ibuka
Growing Potential

Green Bonds

Research on market demand

A study commissioned by the Green Bond Program Kenya with funding support from WWF-Kenya was launched in Dec 2018. The study sought to determine the green investment opportunities in the Manufacturing, Transport and Agriculture sectors and identified green investment and financing opportunities in these sectors valued at KSh87 billion over the next five to 10 years of which there is near-term demand for Ksh16 billion.

Market sensitization and training

A number of training sessions co-hosted by the Green Bonds Program Kenya were held in 2018:

- A stakeholder consultation forum co-hosted with National Treasury was held in May 2018.
- A two-day session on Green Bonds and other New Assets was held in conjunction with RBA for Trustees and for Fund Managers.
- A 2 day sensitization session with Members of Parliament on the Green Bond market development.
- A Green Bond side event at the International Blue Economy Conference was held in November 2018, in Nairobi themed "Innovative financing to transition to an inclusive Green and Blue Economy" was attended by key players from the financial services sector.

Listings

- Britam Group held a bell ringing ceremony on May 21, 2018 to commemorate the listing of
- 360, 888, 281 new additional shares of Britam Limited on the bourse. The Britam listing marked the first listing on the Main Market Investment Segment in 2018.

- The Bank of Kigali (BK) cross-listed on the NSE on November 30, 2018, becoming the first Rwandan company to tap into the Kenyan capital market. The Bank of Kigali enjoys market leadership in Rwanda’s banking sector with a wide footprint of 79 branches supported by a growing network of agents and digital banking solutions.

World Federation of Exchanges

- The NSE has continued to enhance its reputation globally through key engagements and strategic partnerships. The Exchange became a full member of the World Federation of Exchanges (WFE) in January 2018. This has resulted to the NSE becoming an attractive destination for foreign investors and international capital flow.

- Furthermore, the NSE is a member of the African Securities Exchanges Association (ASEA) and the East African Securities Exchanges Association (EASEA). It is also a full member of the Association of Futures Markets (AFM).

“ NSE is becoming an attractive destination for foreign investors and international capital flow due to key engagements and strategic partnerships”.

Sustainability Initiatives

The 2018 Charity Trading Day

- The NSE hosted the 2018 Charity Trading Day on November 2, 2018. The annual charity event brings together known personalities and capital markets stakeholders to a fun filled event, aimed at raising funds to support various charitable causes in the country.

Investment Challenge

- The challenge is an online simulation of live trading at the Nairobi Securities Exchange, where each participating group/individual is given a virtual start-up capital to invest using the NSE real time information for a period of 3 months.

UN Women Empowerment Principles

- The NSE in partnership with IFC World Bank, Global Compact Network Kenya , United Nations (UN) Sustainable Stock Exchanges (SSE) and UN Women, hosted a Bell Ringing Ceremony for Gender Equality in commemoration of the International Women's Day.

Diversity and Inclusion

- The NSE in partnership with New Faces New Voices (NFNV) annually hosts the NSE Leadership and Diversity Series; an initiative aimed at promoting diversity on Boards of listed companies for business growth and sustainability in the long term. The Series spearheads dialogue by enhancing various aspects of leadership and diversity within the listed companies. We are currently receiving case studies from listed companies highlighting the diversity and inclusion initiatives.

2019 Outlook

Increase Listings

The Exchange is keen on the listing of National Oil Corporation in 2019 which will list on the NSE and cross-list on the London Stock Exchange.

- **Ibuka Program-** To spur more listings in 2019 and onwards, the NSE in partnership with other stakeholders is currently working on a program that is expected to enhance the visibility of many non-listed companies with high growth prospects. The program will enable us walk with high growth Kenyan companies that want to take the next step in their growth strategy. We believe this will boost listing interests and improve the quality of companies that come to market.

- **ELITE Programme** -The NSE signed a Memorandum of Understanding (MoU) with Elite, London Stock Exchange Group's international business support programme for the development and launch of the programme in Kenya. The programme will enable the NSE and the LSE work with select Kenyan Companies supporting them scale up their businesses, access a network of industry experts and a community of investors hence prepare them for their next phased of growth-listing on the NSE.

Launch the Derivatives Market

The Exchange has been satisfied with the outcomes of the overall Pilot Tests and expresses confidence in the abilities of the market participants and itself in being able to undertake the risk management, trading, clearing and settlement responsibilities required of them. The Exchange is also satisfied with the appropriateness of the currently approved futures contracts and believes they can serve as a basis for new equity futures in the live market.

The market will be ready for a H1 2019 launch subject to the final regulatory approvals.

" The Exchange is satisfied with the appropriateness of the currently approved futures contracts and believes they can serve as a basis for new equity futures in the live market.".

Upgrade of the Automated Trading System.

First, the upgrade is informed by the NSE mandate which is to provide a world class trading system that facilitates trading of listed securities. The current system has served us well for about a decade. However, given the level of growth within this period in trading, it is apparent that a system upgrade is inevitable to support the business.

The upgrade is expected to ease access and spur liquidity into the market. Short selling, lending and borrowing aims at improving the supply side of the market resulting to more liquidity.

The system is highly scalable. As such it will be able to support the existing equity and quasi equity products including but not limited to shares, REITs and ETFs.

Green Bonds

The NSE looks forward to the publishing of listing guidelines in Q1 2019. We will also host educative forums and carry out capacity building for the capital markets.

The focus for 2019 is to continue supporting the first few green bond issuers to come to market. Further briefing sessions for potential issuers and investors to be scheduled in Q1 and Q2.

The program has also engaged with the Policy maker regarding withholding tax exemption for Green Bonds. This engagement will continue in 2019 as the exemption would create further incentives for the uptake of this new product.

Kenya's Big 4 Agenda and the NSE

- Manufacturing
- Universal Healthcare
- Affordable Housing
- Food Security

Manufacturing
- Initial Public Offers (IPO)
- Dual and cross listings

Universal Healthcare
- Green bonds, Sukuk
- Asset Backed Securities
- County Bonds
- Real Estate Investment Trusts (REITs)

Affordable Housing
- Real Estate Investment Trusts
- Asset Backed Securities
- County Bonds

Food Security
- Commodities & Derivatives Exchange
- Warehouse receipts
- Green Bonds

RESULTS

- GDP Growth
- Employment Industrial Growth
- Savings, Trade and Investments

- Better Health
- Clean Air
- Clean Water
- Clean Energy

- Low cost housing
- Higher quality of life
- Home- equity ownership

Stable food prices
Empowered farmers/ producers
Sufficient supply of quality food & water

NSE STRATEGY 2015 - 2019

NEW LISTINGS & ISSUERS

NEW PRODUCTS & SERVICES

GLOBAL & REGIONAL ENGAGEMENT

TRANSFORM RELATIONSHIPS WITH GoK & CMA

THE END

nairobi securities exchange
Discover Opportunity

Website: www.nse.co.ke
Email: info@nse.co.ke
Tel: +254 (20) 283 1000